UNION BUDGET REPORT - 2024-2025

July 2024

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Foreword by the Chief Economic Advisor Dr M Govinda Rao:

Fiscal Consolidation with Infrastructure Development: Union Budget on Expected Lines

The much-awaited first budget of the Modi-3 government is on predicted lines. This is the seventh straight budget presented by the present Finance Minister. The budget attempts to set priorities for the long-term goal of achieving the developed-country status in the centenary year of independence. At the same time, the budget has taken full cognizance of coalition compulsions and has acceded to the demand from the allies whose continued support is critical. Most of the revenue and expenditure numbers are quite close to those presented in the Interim Budget except for a substantial increase in the non-tax revenue due to a higher dividend of Rs. 2.1 trillion as against Rs. one trillion given in the interim budget. There is a marginal improvement in the deficit estimates.

The budgets presented by the present Finance Minister, Mrs. Nirmala Sitharaman, have acquired three desirable features. First, the budgets are more transparent and there are no hidden items and off-budget liabilities and that helps to understand the macroeconomic implications better. Second, in the post-pandemic era, there has been a concerted attempt at fiscal consolidation towards containing the fiscal deficit target of 4.5% of GDP by 2025-26. The minister has promised to continue to reduce the fiscal deficit even thereafter reducing it each year to steer the Central government debt on the declining path, though the extent and the timing of this is unclear. Finally, fiscal consolidation has been done while significantly increasing the capital outlay to keep up the growth momentum of the economy. The capital outlay of the Union government relative to GDP has shown a steady increase from 1.7% in 2020-21 to 3.4% in the 2024-25 budget.

As mentioned above, the deficit numbers are marginally better than those presented in the interim budget. The fiscal deficit is now estimated at 4.9% instead of 5.1% and the revenue deficit is estimated at 1.8% as against the estimated 2 % on the interim budget. As compared to the provisional actuals, the fiscal deficit is lower by 0.7 percentage points from 5.6% to 4.9% and the revenue deficit is lower by 0.8 percentage points from 2.6% to 1.8%. It may not be difficult to reach the fiscal deficit target of 4.5%, or even exceed it next year.

The additional dividends of Rs. 1.1 trillion received from the Reserve Bank of India over the estimate presented in the interim budget was mainly used to meet the demand of the two major coalition partners. While the Union government desisted from conceding special category status to Bihar and Andhra Pradesh, the pivotal coalition partners were able to extract substantially higher packages. Bihar was able to get the allocation of Rs. 26000 Crore for a two-lane bridge over rive Ganaga at Buxar and another Rs, 21000 Crore for a new 2400 MW power plant in Pirpainti, Besides, several road connectivity projects new airports, medical colleges, tourism projects, and sports infrastructure has been promised to the State. The state is also a part of the proposed 'Purvodaya' – an all-round development of the eastern part of the country. Andhra Pradesh was also able to strike a good bargain. The state will receive Rs. 15000 Crore for building a new capital as promised in the Andhra Pradesh Reorganisation Act. The finance required for the completion of Polavaram irrigation project will be provided/ The budget has promised also to provide funds for creating essential infrastructure such as water, power, railways, and roads on the Vishakhapatnam-Chennai Industrial corridor and on Hyderabad-Bengaluru Industrial Corridor. Additional funds for the capital investment for the economic growth of backward regions of Rayalaseema, Prakasam, and North Coastal Andhra. Even though it is a Southern State, it is also a part of the 'Purvodaya' project, meant for the development of the Eastern region. The total outlay on these is likely to be substantial not only this year but also in the years to come.

Achieving the developed country status requires the country to be competitive. No country has achieved a consistent 8% annual average growth for a long period by keeping the tariffs at elevated levels. The tinkering of rates proposed in the budget does not change the protectionist stance and there is a need for rethinking on the issue. Similarly, the time has come to withdraw the option of paying income taxes according to the old regime and rationalize the rates in the new. The best practice approach to tax reform is to have a broad base, low and less differentiated rates, and a simple system. Loading the tax policy with several objectives by giving tax preferences only increases compliance costs and creates distortions. There are six rates in the individual income tax now and these can be reduced to 3 without losing revenue. Hopefully, the rationalization will be done sooner rather than later. The finance minister touched upon expanding the base of GST and hopefully, that will be taken up in the next GST Council meeting.

KEY HIGHLIGHTS OF THE UNION BUDGET

The budget prioritizes nine key areas, including manufacturing and services, and next-generation reforms, in the pursuit of Viksit Bharat

- Focuses on agriculture, employment, infrastructure, energy security, urban development, and innovation
- An allocation of Rs 1.52 lakh crore has been made for the agriculture and allied sectors
- The government proposed to provide Rs 11,500 crore in financial support for projects in Bihar through the Accelerated Irrigation Benefit Programme and other sources, and Rs 15,000 crore in special financial support to Andhra Pradesh
- Tax relief is being provided to Start-ups, Middle Classes, and Foreign Corporations
- The standard deduction for salaried employees has been increased from Rs 50,000 to Rs 75,000 in the new tax regime
- The deduction on family pension for pensioners has been raised from Rs 15,000 to Rs 25,000
- Angel Tax for Start-up Investors abolished, a significant move to boost start-ups ecosystem and support Indian innovation
- The Corporate Tax Rate on foreign companies has been reduced from 40% to 35%
- Tax slabs under new tax regime tweaked:

Income (Rs in Lakhs)	Tax Rate
0-3 Lakh	0%
3-7 Lakh	5%
7-10 Lakh	10%
10-12 Lakh	15%
12-15 Lakh	20%
Over 15 Lakh	30%

- Capex Unchanged, Reduced Budget Deficit
- Centre to borrow Rs 14.01 lakh crore in FY25, lower than interim Budget estimate
- The Centre marginally cut the gross borrowing target from the markets in 2024-25 to Rs 14.01 lakh crore to finance its fiscal deficit of 4.9 percent of the GDP
- FY25 capex pegged at Rs 11.11 lakh crore
- Fiscal deficit projected at 4.9% of GDP for FY25 and 4.5% in FY26
- The Union Budget for 2024-2025 allocates a substantial amount of ₹6.21 lakh crore to the defence sector, an 18.43% increase from FY 2022-23 and 4.79% increase from FY 2023-24. The capital outlay has been set at Rs 1.72 lakh crore
- The budget prioritizes modernizing the armed forces, procuring advanced technology, and developing defence infrastructure
- Enabling stamp duty cuts for women homebuyers: Stamp duty cuts for women homebuyers could boost property purchases, attracting fence-sitters and promoting women's empowerment
- Three cancer drugs namely Trastuzumab, Deruxtecan, Osimertinib, Durvalumab exempted from Custom Duty
- Customs Duty on Mobile Phones, PCBAs, and Chargers reduced to 15%
- Customs duties on Gold and Silver reduced to 6%, while platinum's duties reduced to 6.4%
- The monetary limits for filing direct taxes, excise and service tax appeals in tax tribunals, high courts, and Supreme Court increased to Rs 60 lakh, Rs 2 crore, and Rs 5 crore, respectively
- The tax rate on long-term capital gains has been raised from 10% to 12.5% on all financial and non-financial assets
- The tax rate for short-term capital gains (STCG) remains at 20%
- The budget has increased the securities transaction tax on derivatives trading
- The tax deducted at source (TDS) rate for e-commerce operators in India has been reduced from 1% to 0.1%
- The budget proposed a reduction in the tax deducted at source (TDS) rate for e-commerce operators from 1% to 0.1%, aiming to ease financial burdens
- Delay in TDS payment up to the filing statement due date has been decriminalized
- NPS contribution limit for employer in private sector raised from 10% to 14% of the employee's basic salary. NPS Vatsalya scheme announced

- For both private and public sector bank employees, the deduction limit has been raised from 10% to 14%. All these benefits are available on the new tax regime only

The Union Budget outlined nine key priorities in her Union Budget 2024-2025 speech to achieve 'Viksit Bharat' by 2047.

NINE KEY PRIORITIES

1. AGRICULTURE

PRODUCTIVITY AND RESILIENCE IN AGRICULTURE

This budget emphasizes productivity and resilience in agriculture, which is critical for India's agrarian economy.

- The government plans comprehensive review of agricultural research with an aim to enhance productivity.
- The introduction of 109 high-yielding and climate-resilient varieties of 32 field and horticulture crops is expected to benefit farmers.
- The budget aims to convert 1 crore farmers into natural farming over two years, promoting sustainable practices through certification and branding.
- Establishment of 10,000 need-based bio-input resource centres is also part of this initiative.
- **Financial Allocation:** The budget allocates ₹1.52 lakh crore for agriculture and allied sectors, with the aim of significantly strengthening the agricultural framework.
- **Research and Development:** The agricultural research system is being reviewed to enhance productivity by introducing 109 new high-yielding, climate-resilient varieties of 32 field and horticulture crops.
- **Natural Farming Initiatives:** The government plans to train 1 crore farmers in natural farming practices over two years, offering certification and branding, and establishing 10,000 bio-input resource centres.
- **Digital Infrastructure**: A Digital Public Infrastructure (DPI) for agriculture is set to be implemented within three years, enhancing data accessibility and decision-making for farmers and their lands.
- **Climate Resilience:** The budget aims to develop climate-resilient crop varieties, a crucial strategy for a sustainable agricultural sector, in response to the growing impact of climate change.
- **Vegetable production & Supply Chains:** Large-scale vegetable production clusters will be established near major consumption centres, promoting Farmer-Producer Organizations, cooperatives, and start-ups for vegetable supply chains, including collection, storage, and marketing.
- **National Cooperation Policy**: The government plans to implement a National Cooperation Policy to promote the systematic and orderly development of the cooperative sector, aiming to accelerate rural economy growth and generate large-scale employment opportunities.

2. EMPLOYMENT & SKILLING

Three employment-linked schemes have been introduced, aiming to benefit 10 lakh youth through Scheme A, 30 lakhs through Scheme B, and 50 lakhs through Scheme C.

- Scheme A: One-month wage for first-time employees in formal sectors, up to ₹15,000
- Scheme B: Additional incentives for manufacturing sector to hire first-time employees. The scheme aims to incentivize manufacturing sector employment for first-time employees, benefiting 30 lakh youth and their employers by providing specific scale incentives.
- Scheme C: Support for employers to incentivize additional employment across sectors. The government is implementing an employer-focused scheme to incentivize additional employment in all sectors, with a monthly reimbursement of Rs 3,000 for each additional employee.

Skilling Programme

A new centrally sponsored scheme, the 4th under the Prime Minister's package, aims to skill 20 lakh youth over a 5-year period, upgrading 1,000 Industrial Training Institutes, and introducing new courses for emerging industry needs.

Skilling Loans

The Model Skill Loan Scheme will be revised to offer loans up to Rs 7.5 lakh with government-promoted Fund guarantee, aiding 25,000 students annually.

Education Loans

The budget outlined a financial support of up to Rs 10 lakh for higher education loans in domestic institutions, with e-vouchers given to 1 lakh students annually for an annual interest subvention.

3. INCLUSIVE HUMAN RESOURCE DEVELOPMENT AND SOCIAL JUSTICE

- **Saturation Approach:** The budget proposed adoption of saturation approach aiming to empower marginalized communities like Scheduled Castes, Scheduled Tribes, women, and street vendors by enhancing their capabilities through targeted programs
- **Budget Allocations:** The Department of Social Justice and Empowerment has been allocated Rs 13,539 crore in the 2024-2025 budget, a 37% increase from the revised estimates, aiming to empower marginalized communities through targeted programs and improved infrastructure

4. MANUFACTURING & SERVICES

The budget emphasizes significant measures aimed at bolstering India's manufacturing and services sectors.

The Union Budget 2024-2025 aims to boost India's manufacturing capabilities and support the services sector, fostering inclusive economic growth.

Here are the key highlights related to these areas:

- **Customs Duty Reductions:** The budget proposes 15% reduction in customs duties on X-ray panels, mobile phones, and PCBAs, and 6% reduction in duties on precious metals like gold and silver to stimulate demand.
- **Support for Solar Panel Manufacturing:** The government has introduced a significant exemption for capital goods used in solar panel manufacturing, promoting renewable energy and sustainability.
- **Concessional Tax Regime Extension:** The budget extends the concessional tax regime for the manufacturing sector, aiming to maintain GDP growth and support domestic manufacturing, enhancing competitiveness.
- The budget aims to boost domestic electronics industry value by removing customs duty on oxygen-free copper for resistor manufacturing and exempting certain connector parts.

Services Sector Initiatives

- **Focus on MSMEs:** The budget prioritizes MSMEs for job creation and economic growth, focusing on facilitating finance access and reducing compliance burdens to create a more conducive business environment.
- **Employment and Skilling Programs:** The government has allocated ₹1.48 lakh crore for education, employment, and skilling programs, aiming to boost human capital in the manufacturing and services sectors.
- **Tax Simplification:** The government plans to review direct and indirect taxes within six months to simplify the tax structure, reduce compliance burdens, and create a more business-friendly environment.

5. URBAN DEVELOPMENT

The budget outlines significant urban development measures, emphasizing the government's commitment to improving infrastructure and housing in urban areas.

- **Affordable Housing Initiative:** The budget allocates ₹10 lakh crore for the Pradhan Mantri Awas Yojana (PMAY) Urban 2.0, including ₹2.2 lakh crore central assistance, to improve living conditions and provide affordable housing. The budget proposes three crore additional houses under PM Awas Yojana in rural and urban areas.
- **Urban Growth Hubs:** The government plans to transform cities into growth hubs through economic and transit planning, focusing on peri-urban development and infrastructure development.
- **Transit-Oriented Development:** The government announced a proposal for transit-oriented development plans for 14 large cities with populations exceeding 3 million, aimed at improving urban mobility and infrastructure.
- **Support for Rental Housing:** The budget prioritizes the development of transparent rental housing markets, enhancing accessibility and availability, and promoting public-private partnerships for dormitory-type accommodations for industrial workers.
- **Infrastructure Projects:** The government plans to collaborate with state governments and multilateral development banks to advance urban infrastructure projects in 100 major cities, including water supply, sewage treatment, and solid waste management.
- **Support for Street Vendors:** The PM Swanidhi scheme's success will be further enhanced by the budget, which aims to build 100 weekly haats in select cities over the next five years.

- **Water Supply and Sanitation:** The government is partnership with State Governments and Multilateral Development Banks will promote water supply, sewage treatment, and solid waste management projects in 100 large cities.

The measures are a comprehensive strategy for urban development, focusing on housing, infrastructure, and economic opportunities for urban residents.

6. ENERGY SECURITY

The government announced several key measures aimed at enhancing energy security and promoting sustainable energy practices in India.

Here are the notable initiatives announced:

- **Pumped Storage Policy:** A new policy will be introduced to promote pumped storage projects for electricity storage and renewable energy integration, aiming to address variability in renewable energy generation.

- **Support for Renewable Energy Manufacturing:** The budget expands exemptions for solar cell and panel manufacturing, supporting domestic solar industry, but not for solar glass or tinned copper interconnects due to domestic manufacturing capacity.

- **Nuclear Energy Development:** The Indian government plans to collaborate with the private sector to develop Bharat Small Reactors and conduct research on Small Modular Reactors, aiming to boost nuclear energy's role in India's energy mix.

- **Advanced Ultra Super Critical (AUSC) Thermal Power Plants:** NTPC and BHEL are partnering to establish an 800 MW commercial plant using AUSC technology, with government support and indigenous material production.

- **Roadmap for 'Hard to Abate' Industries:** A roadmap will be developed to transition challenging industries from energy efficiency to emission targets, incorporating regulatory changes for an Indian Carbon Market transition.

- **Support for Micro and Small Industries:** The budget allocates resources for energy audits in 60 traditional micro and small industries, including brass and ceramics, to facilitate transition to cleaner energy sources.

- **PM Surya Ghar Muft Bijli Yojana:** PM Surya Ghar Muft Bijli Yojana aims to install rooftop solar plants for 1 crore households, providing free electricity of up to 300 units per month.

- **Energy Transition Pathways:** The government plans to release a policy document outlining energy transition pathways, aiming to balance employment, growth, and environmental sustainability, ensuring energy security.

- **Increased Budget for Green Initiatives:** The National Green Hydrogen Mission's budget has been significantly increased, with a doubled allocation for grid-based solar power, indicating a strong focus on renewable energy investments.

7. INFRASTRUCTURE DEVELOPMENT

The budget outlines several significant measures aimed at enhancing infrastructure development across India.

Major Infrastructure Initiatives

- **Purvodaya Plan:** The government announced the Purvodaya Plan, a strategic development initiative in eastern India, aiming to foster inclusive growth and connectivity in states like Bihar, Jharkhand, and West Bengal.

- **Economic Corridors:** The government plans to develop three major economic corridors under the PM Gati Shakti initiative, aiming to improve logistics efficiency, reduce costs, and accelerate GDP growth.

- **Railway Upgrades:** A substantial investment will convert 40,000 normal rail bogies to Vande Bharat standards, aiming to enhance passenger safety, convenience, and comfort, as part of a broader strategy.

- **Aviation Sector Expansion:** The budget outlines plans for aviation sector expansion, including new airport development and enhancement, and improving air connectivity to tier-two and tier-three cities through the UDAN scheme.

- **Metro and Urban Transport:** The NaMo Bharat initiative and the expansion of metro rail systems aim to promote transit-oriented development in large cities, supporting urban transformation.

- **Rural Development:** The government has allocated ₹2.66 lakh crore for rural development, including investments in infrastructure to promote economic growth in these regions.

- **Highway Development:** The budget allocates ₹20,000 crore for highway development projects in Bihar, demonstrating the government's commitment to enhancing road infrastructure in the region.

- **Green Energy Initiatives:** The government plans to fund offshore wind projects, establish coal gasification and liquefaction capacities by 2030, and phased blend compressed biogas in natural gas systems.

The government is prioritizing infrastructure enhancement as a key driver of economic growth, addressing urban and rural needs while promoting sustainability.

8. INNOVATION, RESEARCH & DEVELOPMENT

The Union Budget 2024-2025 places a strong emphasis on innovation, research and development (R&D) to drive economic growth and technological advancement in India.

- **Anusandhan National Research Fund:** The Anusandhan National Research Fund will be operationalized for basic research and prototype development, with a financing pool of Rs 1 lakh crore to support private sector-driven commercial innovation, enabling startups to bring innovative solutions to the market.

- **Venture Capital Fund for Space Sector:** The budget proposes to launch a ₹1,000 crore venture capital fund to support innovative startups and research in the space sector, aiming to boost India's space technology and exploration.

The government's measures demonstrate its dedication to promoting innovation and research, thereby establishing India as a leading global leader in these fields.

9. NEXT GENERATION REFORMS

The Union Budget 2024-2025 outlines key reforms aimed at sustainable growth, employment generation, and societal development, including:

- **Employment and Skilling:** Five schemes worth Rs. 2 lakh crores are being implemented to provide employment and skilling opportunities to over 4 crore youth

- **Agriculture:** Rs. 1.52 lakh crores allocated for agriculture and allied sectors, including 109 high-yielding, climate-resilient crop varieties and 1 crore farmers to be certified in natural farming

- **Tax reforms:** New income tax slabs with reduced rates and increased exemption limit to Rs 3 lakh have been introduced. Further, the financial limits for filing tax appeals have been raised to Rs 60 lakh, Rs 2 crore and Rs 5 crore for tribunals, high courts, and supreme courts, respectively

- **Infrastructure Development:** The initiative includes wind energy financing, coal gasification and liquefaction capacity establishment, developing investment-ready industrial parks in 100 cities, and PPP-supported dormitory-style rental housing for industrial workers

- **Other Reforms:** The reforms include implementing digital public infrastructure for agriculture, acquiring offshore mining blocks, developing climate finance taxonomy, and doubling the MUDRA scheme borrowing cap to Rs 20 lakh

- **Economic Policy Framework:** The government plans to develop a comprehensive Economic Policy Framework to guide future reforms, focusing on employment and sustained economic growth

- **Labour Reforms:** The e-shram portal will undergo a comprehensive review of labor-related services, aiming to provide a one-stop solution for employment and skilling

- **Simplified Investment Rules:** The budget aims to streamline regulations for Foreign Direct Investment (FDI) and Overseas Investments to promote foreign participation and enhance the use of the Indian Rupee in international transactions

- **Digitization of Land Records in Urban Areas:** Land records in urban areas will be digitized with GIS mapping to enhance transparency, efficiency, and urban planning

- **Introduction of Bhu-Aadhaar:** The government plans to introduce Bhu-Aadhaar, a Unique Land Parcel Identification Number (ULPIN) for rural land parcels, aiming to streamline land administration, facilitate credit flow, and enhance agricultural services

The budget aims to achieve a 'Viksit Bharat' by 2047 through next-generation reforms focusing on employment, skilling, agriculture, infrastructure, and inclusive development

FISCAL OVERVIEW

Budget Estimates

- The budget for 2024-25 aims to generate ₹32.07 lakh crore in total receipts and ₹48.21 lakh crore in expenditure, with a projected fiscal deficit of 4.9% of GDP and aims to further reduce the deficit to below 4.5% of GDP by 2025-26

- **Capex:** The government has retained ₹11.11 lakh crore for capital expenditure for FY 2024-25, which amounts to 3.4 percent of India's GDP

- The gross and net market borrowings through dated securities are estimated at Rs 14.01 lakh crore and Rs 11.63 lakh crore during 2024-25, respectively

Tax Structure Revisions

- The budget includes plans for a comprehensive review and simplification of direct and indirect tax structures, aiming to broaden the tax base and reduce compliance burdens. The new personal income tax regime has been adjusted to provide greater benefits to salaried individuals

- Corporate tax rate on foreign companies reduced from 40% to 35%

- ANGEL tax for all classes of investors was abolished

SPECIAL ATTENTION TO MSMES

The Union Budget 2024-25 provides several key measures to support the growth of micro, small, and medium enterprises (MSMEs) in India:

- **Credit Guarantee Scheme for Manufacturing MSMEs:** MSMEs will be offered term loans without collateral or third-party guarantee through a self-financing guarantee fund, covering up to ₹100 crore per applicant

- **New Credit Assessment Model for MSME Loans:** Public sector banks plan to enhance credit accessibility for MSMEs by assessing their digital footprint, replacing traditional asset or turnover criteria

- **Credit Support During Stress Periods:** A government-promoted fund will provide a guarantee for MSMEs to continue receiving bank credit during stress periods, ensuring continued support during the'special mention account' stage

- **Mudra Loan Limit Enhancement:** Mudra loans will be increased from ₹10 lakh to ₹20 lakh for entrepreneurs who have successfully repaid previous loans under the 'Tarun' category

- **Mandatory TReDS Onboarding Threshold Reduced:** The TReDS platform will reduce the turnover threshold for mandatory onboarding of buyers from ₹500 crore to ₹250 crore, attracting 22 more CPSEs and 7,000 more companies

- **New SIDBI Branches in MSME Clusters:** SIDBI will open 24 new branches this year to expand its reach and provide direct credit to all major MSME clusters within three years

- **Support for Food Irradiation Units and Testing Labs:** The MSME sector will receive financial support for the establishment of 50 multi-product food irradiation units and the establishment of 100 NABL accredited food quality and safety testing labs

- **E-Commerce Export Hubs for Global Market Access:** E-commerce export hubs will be set up in public-private partnership to facilitate international market sales for MSMEs and traditional artisans, ensuring a seamless regulatory and logistical framework

CAPITAL GAINS TAX

The Union Budget for 2024-2025 introduced significant changes to India's capital gains taxation structure, affecting both long-term and short-term capital gains

Long-Term Capital Gains (LTCG)

- The tax rate on long-term capital gains has been raised from 10% to 12.5%, affecting profits from selling assets held for over two years, and for listed financial assets

- while for unlisted financial assets, the holding period is extended to over two years

- Gold investments now have a reduced holding period for long-term capital gains, from 36 months to 24 months, allowing for a lower tax rate of 12.5%, with indexation benefits

Short-Term Capital Gains (STCG)

- The tax rate for short-term capital gains (STCG) remains at 20%, unchanged from previous budgets, affecting assets sold within one year of purchase

Additional Changes

- The budget increased the non-taxable ceiling for long-term capital gains from ₹1 lakh to ₹1.25 lakh, allowing individuals to earn up to ₹1.25 lakh without tax

These adjustments in tax revenue levels is aimed to stimulate investment in various asset classes, such as financial markets and gold

The government's increase in the LTCG tax rate may discourage long-term investments, but it's argued that the average tax burden has decreased, encouraging market investments

DEFENCE BUDGET

The Union Budget for 2024-2025 allocates a substantial amount of ₹6.21 lakh crore to the defence sector, an 18.43% increase from FY 2022-23 and 4.79% increase from FY 2023-24. The capital outlay has been set at Rs 1.72 lakh crore

The budget prioritizes modernizing the armed forces, procuring advanced technology, and developing defence infrastructure.

CHANGES IN TAX SLABS

- The Union Budget for 2024-2025 introduced significant changes to income tax slabs, aiming to provide relief to salaried individuals and pensioners
- The lowest slab in the new tax regime increased to Rs 3 Lakh from Rs 2.5 Lakh
- Revised Personal Income Tax Slabs Stood at:
    - Up to 3,00,000: Nil
    - From 3,00,001 to 7,00,000: 5%
    - From 7,00,001 to 10,00,000: 10%
    - From 10,00,001 to 12,00,000: 15%
    - From 12,00,001 to 15,00,000: 20%
    - Above 15,00,000: 30%
- The government has increased the **Standard Deduction** for salaried employees from ₹50,000 to ₹75,000, and the deduction for family pensions from ₹15,000 to ₹25,000
- The government plans to simplify tax structures and expand the tax base within the next six months
- The Budget's proposed new tax regime could potentially save salaried employees up to Rs 17,500 annually in income tax, according to the finance minister

EDUCATION

The budget outlines a financial support of up to Rs 10 lakh for higher education loans in domestic institutions, with e-vouchers given to 1 lakh students annually for an annual interest subvention

INDIRECT TAXES

- **GST:** The success of GST has led to a need for a simplified and rationalized tax structure to expand it to other sectors
- **Medicines and Medical Equipment:** Three cancer drugs, TrastuzumabDeruxtecan, Osimertinib, and Durvalumab, are exempt from custom duty, while x-ray tubes and flat panel detectors for medical x-ray machines are subject to changes
- **Mobile Phone and Related Parts:** BCD on mobile phones, mobile PCBA, and mobile charger has been reduced by 15%
- **Precious Metals:** Gold and silver's customs duties have been reduced to 6%, while platinum's duties have been reduced to 6.4%
- **Other Metals:** BCD is removed from ferro nickel, blister copper, ferrous scrap, nickel cathode, while the concessional BCD of 2.5% is applied to copper scrap
- **Electronics:** The BCD is proposed to be removed on oxygen-free copper under certain conditions for the production of resistors
- **Chemicals and Petrochemicals:** The BCD on ammonium nitrate has increased from 7.5% to 10%
- **Plastics:** The BCD on PVC flex banners has increased from 10% to 25%

- **Telecommunication Equipment:** The BCD of specified telecom equipment on PCBA has been increased from 10 to 15%.
- **Critical Minerals:** 25 critical minerals have been fully exempted from customs duties, while the BCD on two critical minerals has been reduced
- **Marine products:** BCD on certain marine products, including broodstock, polychaete worms, shrimp, and fish feed, has been reduced to 5%, and various inputs for shrimp and fish feed manufacturing are exempt from customs duty
- **Leather and Textile:** BCD has been reduced on duck or goose down filling material and methylene diphenyl diisocyanate (MDI) for spandex yarn production by 7.5 to 5%, subject to conditions

DIRECT TAXES

- **Simplification of Reassessment:** Reassessment can be reopened for up to five years after the end of the assessment year if escaped income is ₹50 lakhs or more
  - Litigation and Appeals:
  - The monetary limits for filing direct taxes, excise and service tax appeals in Tax Tribunals, High Courts and Supreme Court have been increased to ₹60 lakhs, ₹2 crores and ₹5 crores, respectively
  - The safe harbor rules have been expanded to minimize litigation and ensure certainty in international taxation

CHANGES IN SECURITIES TRANSACTION TAX (STT)

Securities Transactions Tax on futures and options

- The Securities Transactions Tax on futures and options of securities has been increased to 0.02% and 0.1% respectively. Further, the recipient's income from the buyback of shares will be subject to taxation

NPS deduction

- Employers are to increase their deduction of NPS expenditure from 10% to 14% of employee salaries, and de-penalize non-reporting of small movable foreign assets up to ₹20 lakhs

Simplification of FDI Rules: The Finance Minister has announced plans to simplify the rules and recognition for Foreign Direct Investments (FDIs) to facilitate its inflow

MEASURES TO INCREASE HOME OWNERSHIP AMONG WOMEN

The Union Budget 2024-25 has implemented several measures aimed at boosting home ownership among women. The Budget 2024 announced several significant measures aimed at assisting homebuyers and revitalizing the real estate sector in India

- **Enabling stamp duty cuts for women homebuyers:** Stamp duty cuts for women homebuyers could boost property purchases, attracting fence-sitters and promoting women's empowerment
- **Allocating an additional 3 crore homes under PMAY:** PMAY will allocate 3 crore homes and interest subvention schemes to address housing needs of 1 crore urban poor and middle-class families, benefiting women
- **Reducing long-term capital gains tax on property:** The reduction of the long-term capital gains tax on property from 20% to 12.5% could increase liquidity and attract women to invest in real estate
- **Increasing the standard deduction for salaried individuals from ₹50,000 to ₹75,000**
- **Digitizing land records through Aadhaar registry and GIS mapping:** The digitization of land records through the Aadhaar registry and GIS mapping is expected to enhance the ease of property transactions for women buyers
- The focus on infrastructure development, urban housing, and job creation is expected to boost the real estate sector and increase home ownership among women in India

NPS VATSALYA SCHEME ANNOUNCED

- Finance Minister Nirmala Sitharaman announced the launch of a new pension scheme called "NPS Vatsalya" for minors
- Parents and guardians can contribute to the NPS Vatsalya scheme on behalf of minors to ensure their financial future
- This scheme aims to promote long-term savings and financial planning for children by enabling parents and guardians to contribute to their retirement corpus from a young age

* Views are personal

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